III

In the following piece in 2004 in *Straight Talk*, I worried about the starting point for economic models, and why it was unrealistic. Models are, by their very nature, abstractions from reality, but we always have to ask whether in the process of abstraction we are throwing important features of the real world away.

# Assume Anarchy?

Institutions are all the rage. The absence of institutions – such as efficient and impartial judiciaries, legal systems to protect intellectual property, tax administrations that are efficient and free of corruption, and credible central banks – is offered as an explanation for some of the central puzzles in development economics, including why so many countries do not grow fast enough to vanquish poverty. But unfortunately, economic theory offers us little guidance on how strong institutions are created and nurtured. And, unless we develop a better understanding, simply reciting the mantra 'institutions' offers little in the way of constructive policy advice to less developed countries, leaving the policy arena open to other, more dubious, views. A tremendous amount of research is now being conducted on the provenance of institutions (including whether they are a proxy for deeper forces) but my focus here is on why mainstream economists have neglected this in the past. In particular, I want to ask how much blame for this neglect should be attached to the canonical model in economics, the complete markets model.

In this theoretical model, which every graduate economics student encounters in some form or other, everyone is fully informed; every eventuality is anticipated in contracts; all contracts are enforced by omniscient, incorruptible courts; and governments automatically take